

INSTRUCTIONAL AREA
Financial Analysis

PRINCIPLES OF ENTREPRENEURSHIP

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Explain the purposes and importance of obtaining business credit.
2. Describe the nature of cost/benefit analysis.
3. Describe the nature of cash flow statements.
4. Describe the nature of budgets.

EVENT SITUATION

You are to assume the role of the owner of FRESH CUTS MOBILE, a mobile dog grooming business that operates out of one custom van. Your business partner (judge) wants you to explain whether the business should buy a second van with a business loan or with cash from savings.

FRESH CUTS MOBILE is booked six weeks out, and you have turned away more than 40 new customers this year. A second fully equipped grooming van costs $68,000. The business has $75,000 in savings. Customers pay at the time of service, but large expenses like insurance, van maintenance and supplies come at uneven times of the year.

Your business partner (judge) wants to pay cash for the van so the business “doesn’t owe anybody anything.” You are not sure that’s the best move.

You will explain your recommendation for financing the second van to the business partner (judge), using cost/benefit analysis, cash flow and budgeting. The role-play takes place at a coffee shop. The business partner (judge) will begin the role-play by asking about the van. After you have explained and have answered the business partner’s (judge’s) questions, the business partner (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. How would we know if the second van is paying for itself?
2. What would a lender want to see from us before approving a loan?

	Rate the participant's ability to:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain the purposes and importance of obtaining business credit.	0-1-2-3	4-5-6-7	8-9-10-11	12	
2.	Describe the nature of cost/benefit analysis.	0-1-2-3	4-5-6-7	8-9-10-11	12	
3.	Describe the nature of cash flow statements.	0-1-2-3	4-5-6-7	8-9-10-11	12	
4.	Describe the nature of budgets.	0-1-2-3	4-5-6-7	8-9-10-11	12	
SOLUTION						
4.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2-3	4-5-6	7-8-9	10	
					TOTAL SCORE	